

LEGAL — CONSTRUCTION/TCC LITIGATION

GMV Ltd v Essex Services Group — TCC & Court of Appeal (2013-2014)

Source: <https://www.keatingchambers.com/resources/cases/greenwich-millennium-village-v-essex-services-group-and-others>

Archived: 2 May 2026 | Part of: Greenwich Millennium Village Research Archive

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TITLE: Greenwich Millennium Village v Essex Services Group and Others

PUBLICATION: Keating Chambers Case Summary

DATE: 25 October 2013

CITATION: [2014] EWHC 1099 (TCC), [2014] TCLR 4, [2013] 3059 (TCC), 151 Con LR 1

FACTS:

Greenwich Millennium Village Ltd ("GMV") brought subrogated claims against several defendants in respect of catastrophic flooding at a residential development owned by GMV. The flooding was the result of various failures in construction and caused £4.75 million worth of damage. The complexity and ineptitude of the contractual arrangements involved were such as to provoke Coulson J's assessment of the failures as "death by sub-contracting."

ISSUES:

The causes of two separate but related failures in the building's cold water system, and which parties were responsible.

JUDGMENT (Coulson J):

FIRST FAILURE:

- Caused by both (1) presence of metallic debris in the water system, and (2) over-tightening of a nut forming part of that system
- Essex Services were responsible for both causes
- Liability passed down the contractual chain via HSE to D G Robson Mechanical Services Limited

SECOND FAILURE:

- Two independent causes: (1) installation of a non-return valve where none belonged, and (2) leaving of an isolation valve in the closed position
- Either cause alone would have prevented the critical Anti Surge Valve from operating
- Judge departed from the "but for" test of causation – both independent causes were effective causes

- Both Essex Service and Hoare Lea responsible; liability apportioned 60% / 40% respectively
- Essex Service's liability passed down via HSE to D G Robson Mechanical Services

COUNSEL:

- Piers Stansfield QC (now KC) appeared on behalf of the Claimant
- Simon Hargreaves QC (now KC) appeared on behalf of the Respondent/Third Party

JUDGMENT LINK: <http://www.bailii.org/ew/cases/EWHC/TCC/2013/3059.html>

COURT OF APPEAL DECISION (2014):

CITATION: [2014] EWCA Civ (Crown Office Chambers reference)

Issue: Scope of indemnity where an indemnitee had itself failed to detect defective work on inspection

Held: An indemnity could still operate despite the indemnitee's "passive" failure to spot defects on inspection.

Decision. Considered an important construction-law authority with widespread implications for the industry.

Inner Temple Library listing:

<https://www.innertemplelibrary.com/2014/04/bailii-recent-decisions-1337/>

(TCC costs judgment listed as [2014] EWHC 1099 (TCC), 11 April 2014)